

U.S. Pizza QSR Industry & Domino's – One-Page Summary

Industry Landscape

The U.S. pizza QSR category is **mature, highly competitive, and experiencing limited growth**. U.S. limited-service pizza sales declined approximately **0.3% in 2025**, marking a third consecutive year of deterioration, while broader industry estimates point to only modest growth in 2026. Consumers are eating out less frequently amid inflation and menu-price fatigue, while aggressive promotions across QSR make growth increasingly difficult.

Pizza has also **lost its historical delivery advantage**. DoorDash and Uber Eats have made nearly every cuisine easily deliverable, while chicken chains, frozen pizza, independent pizzerias, and international flavors compete for the same occasions. At the same time, **43% of U.S. food-service meals are now eaten alone**, increasing demand for individual-sized offerings.

Domino's Position

Domino's remains the strongest-positioned major national pizza chain despite slowing momentum. FY2025 revenue reached **\$4.94B (+5.0%)**, with **\$601.7M in net income (+3.0%)**. However, U.S. same-store sales slowed from **+3.0% in FY2025 to +0.9% in Q1 and +0.1% in Q2 2026**. Order counts continue to grow, but smaller average checks are limiting sales growth.

Domino's continues to expand its footprint, adding **776 net stores in FY2025** and another **209 in Q2 2026**. Its digital infrastructure is a major competitive advantage, with more than **85% of 2025 U.S. retail sales coming through digital channels**. DoorDash and Uber Eats are also bringing Domino's incremental customers while Domino's retains control of delivery through its own drivers.

Competitive Landscape

Pizza Hut: Continues to contract, with 2025 U.S. system sales down **8.2%** and Q2 2026 U.S. system sales down **5%**. Its sale to private equity introduces uncertainty around future closures, investment, and strategy.

Papa John's: Facing the sharpest near-term pressure. Q2 2026 North American comparable sales declined roughly **8%**, revenue fell **8.8%**, and closures exceeded openings. The company has suspended its dividend and attracted takeover interest.

Little Caesars: Remains differentiated through **simple, consistently low pricing** rather than coupon-driven value. U.S. sales increased **1.4% in 2025** following 11.5% growth in 2024.

Customer, Product & Value Insights

Value is Domino's clearest consumer strength. National offers such as **\$6.99 Mix & Match** and **\$7.99 carryout** bring its effective pricing close to Little Caesars despite substantially higher regular menu prices. Domino's \$7.99 large carryout benchmark provides approximately **295 calories per dollar**, although competitor value depends heavily on the effective promotional price and exact product configuration.

Customer feedback suggests Domino's is strongest on **promotions, convenience, digital ordering, and reliability**, while **store-to-store consistency, delivery fees, and promotional complexity** remain recurring pain points. Product innovation such as Parmesan Stuffed Crust has generated enthusiasm, while newer individual products target emerging solo-dining occasions.

Key Implications for Domino's

Domino's is **gaining share within a weak category**, giving it an opportunity to benefit from competitors' restructuring. The key challenge is converting higher order counts into stronger sales by **increasing average check without damaging its value positioning**. Product innovation, individual-size occasions, digital leadership, and third-party delivery offer growth opportunities, while execution consistency remains critical.

Bottom line: Domino's competitive advantage increasingly comes from the combination of **value + digital convenience + scale**, rather than pizza delivery alone. With Pizza Hut and Papa John's restructuring, Domino's has an opportunity to strengthen its leadership, but sustainable growth will depend on increasing customer spend while maintaining the value proposition that differentiates the brand.